

SPECIAL FEDERAL AWARD TERMS AND CONDITIONS
WORKFORCE INNOVATION AND OPPORTUNITY ACT TITLE I
PY 2025

Pursuant to the terms of the Federal award, and to 2 Code of Federal Regulations (C.F.R.) §§ 200.101(b)(2) and 200.332(a)(2), these Special Terms and Conditions pass through Terms and Conditions of the Federal award, which are not set forth elsewhere in this grant award. This grant award must be used in compliance with the following Federal Terms and Conditions in addition to the other provisions of this grant award.

A. Availability of Federal Award Terms

In some cases, Federal grant funds become available to the Texas Workforce Commission (TWC) for award before TWC obtains the associated Federal Award Terms for the monies. When award execution does not allow for delay, TWC may base the Special Federal Award Terms and Conditions for a grant award on the most recent prior Federal Award Terms and Conditions available, and later amend the TWC grant award when updated Federal terms are available. This action is most often used when Federal Award Terms and Conditions are not expected to differ significantly from the most recent prior terms available at the time TWC makes award.

B. Definitions

As used in these Special Federal Award Terms and Conditions: (1) the term, non-Federal entity, has the meaning defined in 2 C.F.R. Parts 200 and 2900; and (2) the term, subrecipient, has the meaning defined in 2 C.F.R. Part 200.

C. Order of Precedence

In the event of any inconsistency between the terms and conditions of this grant award and other requirements, the following order of precedence shall apply:

- 1.** Workforce Innovation and Opportunity Act (WIOA);
- 2.** Other applicable Federal Statutes;
- 3.** Full-Year Continuing Appropriations and Extensions Act, 2025 (Public Law 119-4), dated March 15, 2025;
- 4.** Implementing Regulations;
- 5.** Executive Orders (EOs) and Presidential Memoranda;
- 6.** Office of Management and Budget (OMB) Guidance, including the Uniform Guidance at 2 C.F.R. parts 200 and 2900;
- 7.** The U.S. Department of Labor (DOL) or Employment and Training Administration (ETA) directives, including but not limited to Adult, Dislocated Worker and Youth Activities program allotments for Program Year 2025 including Training and Employment Guidance Letter (TEGL) No. 11-24.
- 8.** The terms and conditions of the Federal award, as included in this Grant Award as the Special Federal Award Terms and Conditions; and,
- 9.** The terms and conditions of this TWC grant award.

D. Fund Use

The funds that are provided under this grant award must be expended

according to all applicable Federal statutes, regulations and policies, including those of WIOA, the applicable approved WIOA State plan (including approved modifications/amendments to the plan) and any waiver plan approved under WIOA § 189(i)(3), or any Workforce Flexibility (Workflex) plan approved under WIOA § 190; the negotiated performance levels and policies established pursuant to the Labor Secretary's authority under WIOA § 116; and the applicable provisions in the appropriations act(s).

E. Resources and Information

Additional resources and information are located on the Resources page of the DOL-ETA website at <https://www.dol.gov/agencies/eta/grants/resources> and on the Grants Application and Management collection page located on WorkforceGPS.org at <https://grantsapplicationandmanagement.workforcegps.org/>.

These sites contain information about the Uniform Guidance, grant terms and conditions, financial reporting, indirect costs, recipient training resources, and other relevant information.

F. Cost Limitation Restrictions

- 1. Administrative Costs.** Administrative costs are defined at 20 CFR 683.215. Limitations on administrative costs are described at 20 CFR 683.205. Under no circumstances may the administrative costs exceed these limits. The award recipient will be monitored for compliance with the administrative cost limits throughout the grant's period of performance. Any amounts that exceed these limitations will be disallowed and subject to debt collection.
- 2. Consultants.** For the purposes of this award, the DOL-ETA Grant Officer has determined that fees paid to a consultant who

provides services under a program shall be limited to \$815 per day (representing an eight-hour workday). Such costs must be reasonable, allocable and allowable to the program. Any fees paid in excess of this amount cannot be paid without prior approval from the DOL-ETA Grant Officer.

Note: Subrecipients having need to exceed the limit must request prior approval to do so by submitting the request to the TWC Grant Manager assigned to this award. TWC will submit such requests to the DOL-ETA Grant Officer, as appropriate.

Subrecipients under this award shall not submit prior approval requests directly to DOL-ETA.

- 3. Equipment and Other Capital Assets.** The prior written approval requirements for equipment (as described in 2 CFR 200.439) are waived in accordance with 2 CFR 200.308(c)(4) and (g) and 20 CFR 683.200, and approval authority is delegated to the Governor for programs funded under Section 127 (Youth) or Section 132 (Adult & Dislocated Worker) of WIOA or under the Wagner- Peyser Act. Notwithstanding this waiver, the Grant Officer reserves the right to reimpose the requirement of prior approval, after providing advance notice to the recipient.

Disposition. When equipment acquired under a Federal award is no longer needed for the original project, program, or for other activities currently or previously supported by a Federal agency, the recipient or subrecipient must request disposition instructions from the Federal agency or State if required by the terms and conditions of the Federal award. See 2 CFR 200.313(e).

- 4. Pre-Award Costs.** All costs incurred by the award recipient prior

to the start date specified in the grant award issued by the Department are incurred at the recipient's own expense.

5. **Travel (Prior Approval)**. The Federal award waives the prior approval requirement for domestic travel as contained in 2 C.F.R. § 200.475. For domestic travel to be an allowable cost, it must be necessary, reasonable, allocable and conform to the non-federal entity's written policies and procedures.
6. **Travel (Fly America Act)**. All travel must comply with the Fly America Act (49 U.S.C. § 40118), which states in part that any air transportation, regardless of price, must be performed by, or under a code-sharing arrangement with, a U.S. Flag air carrier if service provided by such carrier is available.
7. **Travel (Foreign)**. Funds that are awarded and authorized to carry out an activity under WIOA subtitle B cannot be used for foreign travel.
8. **Travel (Mileage Reimbursement Rates)**. Pursuant to 2 C.F.R. § 200.475(a), all subrecipients must have policies and procedures in place related to travel costs; however, for reimbursement on a mileage basis, this Federal award cannot be charged more than the maximum allowable mileage reimbursement rates for Federal employees for transportation by privately-owned automobile and privately-owned motorcycle. Mileage rates must be checked annually on the U.S. General Services Administration (GSA) Web site at www.gsa.gov/mileage to ensure compliance.

Note: Additional state travel requirements may apply.

G. Audits

The audit provisions contained elsewhere in this grant award are inclusive of

Federal award terms requiring that organization-wide or program-specific audits shall be performed in accordance with Subpart F, the Audit Requirements of the Uniform Guidance. Non-federal entities (as defined in 2 CFR 200.1) that expend \$1,000,000 or more in a year from any Federal awards must have an audit conducted for that year in accordance with the requirements contained in Subpart F. All audit reports produced under subpart F are submitted through the Federal Audit Clearinghouse. For-profit entities are excluded from the requirements found in Subpart F of the Uniform Guidance (2 CFR 200.501(i)); however, in accordance with 2 CFR 200.503(c), DOL requires for-profit recipients that meet the audit determination threshold outlined in 2 CFR 200.501(a) to conduct a program-specific audit in accordance with generally accepted government auditing standards (GAGAS).

H. Closeout Requirements

During the closeout process, the Grantee must be able to provide documentation for all direct and indirect costs that are incurred. For instance, if an organization is claiming indirect costs, the documentation that is required is a Negotiated Indirect Cost Rate Agreement (NICRA) or Cost Allocation Plan (CAP) issued by the grantee's Federal cognizant agency (FCA). Documentation for those approved to utilize a de minimis rate for indirect costs is demonstrated through the grant agreement. Not having documentation for direct or indirect costs will result in costs being disallowed and subject to debt collection. (Note: Unless specified otherwise by TWC, subrecipients must maintain such documentation in accordance with applicable record retention requirements and make it available for review upon request.)

I. Personally Identifiable Information

Grantees must recognize and safeguard personally identifiable information (PII) except where disclosure is allowed by prior written approval of the DOL Grant Officer or by court order. Grantees must meet the requirements in TEGL 39-11, Guidance on the Handling and Protection of Personally Identifiable Information (PII), found at

<https://www.dol.gov/agencies/eta/advisories/training-and-employment-guidance-letter-no-39-11>.

J. Procurement

All subrecipients must follow the procurement standards in 2 CFR 200.318 through 200.327. When procuring contractors for goods and services, subrecipients must follow the procurement requirements at 2 C.F.R. § 200.319, which calls for full and open competition. Subrecipients must also follow the requirements in WIOA Sections 121(d) and 123.

K. Program Income

The “Addition” method, as described in 2 C.F.R. § 200.307, must be used in allocating any program income generated for this grant award.

Subrecipients must expend all program income prior to drawing down additional funds as required at 2 C.F.R. § 200.305(b)(5) and 2 C.F.R. § 200.307(b). Any program income found remaining at the end of period of performance must be returned to the DOL-ETA.

Note: TWC will recover any program income found remaining at the end of the grant award through the closeout process.

L. Requirements for Conference and Conference Space

Conferences funded in whole or in part by the award are allowable if the conference is necessary and reasonable for the successful performance of the Federal Award. Subrecipients are urged to use discretion and good judgment to ensure that all conference costs charged to the grant are appropriate and allowable. For more information in the requirements and the allowability of costs associated with conferences, refer to 2 C.F.R. § 200.432. Subrecipients will be held accountable to the requirements in 2 C.F.R. § 200.432. Therefore, costs that do not comply with 2 C.F.R. § 200.432 will be questioned and may be disallowed.

M. Subawards

A subaward means an award provided by a pass-through entity (PTE) to a subrecipient for the subrecipient to carry out part of a Federal award received by the PTE. It does not include payments to a contractor, beneficiary, or participant. A subaward may be provided through any form of legal agreement, including an agreement that the PTE considers a contract.

The provisions of the Terms and Conditions of this award must be applied to any subrecipient under this award. Each pass-through entity is responsible for monitoring subrecipients, ensuring that the Terms and Conditions and all other information required in 2 CFR 200.332(b) are in all subaward packages and that the subrecipients comply with all applicable Federal statutes, regulations and the Terms and Conditions of this award (2 C.F.R. § 200.101(b) and 332).

N. Contracts

A contract means a legal instrument by which a recipient or subrecipient conducts procurement transactions under a Federal award. Additional guidance on distinguishing between a subrecipient and a contractor is provided in 2 CFR 200.331. When procuring contractors for goods and

services, DOL recipients and subrecipients must follow the procurement requirements, including the requirement for full and open competition, found at 2 CFR 200.318 through 200.327 (except states and Indian tribes, which must follow 2 CFR 200.317).

O. Whistleblower Protection

This grant and employees working on this grant are subject to the whistleblower rights and remedies established at 41 U.S.C. § 4712. The subrecipient shall inform its employees in writing, in the predominant language of the workforce, of employee whistleblower rights and protections under 41 U.S.C. § 4712, as described in section 3.900 through 3.906 of the Federal Acquisition Regulation. The subrecipient shall insert the substance of this clause in all subgrants and contracts over the Simplified Acquisition Threshold.

P. Intellectual Property Rights

- 1.** The Federal Government reserves a paid-up, nonexclusive and irrevocable license to reproduce, publish or otherwise use, and to authorize others to use for federal purposes:
 - (a)** the copyright in all products developed under the grant, including a subgrant or contract under the grant or subgrant; and
 - (b)** any rights of copyright to which the recipient, subrecipient or a contractor purchases ownership under an award (including but not limited to curricula, training models, technical assistance products, and any related materials).

Such uses include, but are not limited to, the right to

modify and distribute such products worldwide by any means, electronically or otherwise.

- 2.** Federal funds may not be used to pay any royalty or license fee for use of a copyrighted work, or the cost of acquiring by purchase a copyright in a work, where DOL/ETA has a license or rights of free use in such work, although they may be used to pay costs for obtaining a copy which is limited to the developer/seller costs of copying and shipping.
- 3.** If revenues are generated by selling products developed with grant funds, including intellectual property, these revenues are considered as program income. Therefore, program income must be used in accordance with the provisions of this grant award and 2 C.F.R. § 200.307.
- 4.** If applicable, the following needs to be on all products developed in whole or in part with grant funds:

“This workforce product was funded by a grant awarded by the U.S. Department of Labor’s Employment and Training Administration. The product was created by the recipient and does not necessarily reflect the official position of the U.S. Department of Labor. The Department of Labor makes no guarantees, warranties, or assurances of any kind, express or implied, with respect to such information, including any information on linked sites and including, but not limited to, accuracy of the information or its completeness, timeliness, usefulness, adequacy, continued availability, or ownership. This product is copyrighted by the institution that created it.”

As required at 2 CFR 2900.13, any intellectual property developed under a discretionary Federal award process must be licensed under an open license, which allows subsequent users to copy, distribute, transmit and adapt the copyrighted work and attribute the work in the manner specified by the recipient. All small business firms, and non-profit organizations (as defined in the link below, and including Institutions of Higher Education) must adhere to the Bayh-Dole Act, which requirements are provided at 37 CFR 401.3(a) and at the Bayh-Dole Act Required ETA Grant Term document. To summarize, these requirements describe the ownership of intellectual property rights and the government's nonexclusive, nontransferable, irrevocable, paid-up license to use any invention conceived or first actually reduced to practice in the performance of work under this grant award. These requirements are in addition to those found in the Intellectual Property Rights term above.

Q. Federal Appropriations Requirements

1. Fair Labor Standards Act Amendment for Major Disasters.

As provided in Pub. L. 119-4, the requirements of Pub. L. 118-47, Division D, Title I, Section 108 apply. The Fair Labor Standards Act of 1938 ("FLSA") will apply as if the following language was added to section 7 (the Maximum Hours Worked Section). This language specifically relates to occurrences of a major disaster (as declared or designated by the State or Federal government) and are applied for a period of two years afterwards. The language is as follows:

"(s)(1) The provisions of this section [maximum hours worked]

shall not apply for a period of 2 years after the occurrence of a major disaster to any employee—

- a) employed to adjust or evaluate claims resulting from or relating to such major disaster, by an employer not engaged, directly or through an affiliate, in underwriting, selling, or marketing property, casualty, or liability insurance policies or contracts;
- b) who receives from such employer an average weekly compensation of not less than \$591.00 per week or any minimum weekly amount established by the Secretary, whichever is greater, for the number of weeks such employer is engaged in any of the activities described in subparagraph (C); and
- c) whose duties include any of the following:
 - (i) interviewing insured individuals, individuals who suffered injuries or other damages or losses arising from or relating to a disaster, witnesses, or physicians;
 - (ii) inspecting property damage or reviewing factual information to prepare damage estimates;
 - (iii) evaluating and making recommendations regarding coverage or compensability of claims or determining liability or value aspects of claims;
 - (iv) negotiating settlements; or
 - (v) making recommendations regarding litigation.

- (2) The exemption in this subsection shall not affect the exemption provided by section 13(a)(1) [of the FLSA].
- (3) For purposes of this subsection—
 - (A) the term ‘major disaster’ means any disaster or catastrophe declared or designated by any State or Federal agency or department;
 - (B) the term ‘employee employed to adjust or evaluate claims resulting from or relating to such major disaster’ means an individual who timely secured or secures a license required by applicable law to engage in and perform the activities described in clauses (i) through (v) of paragraph (1)(C) relating to a major disaster, and is employed by an employer that maintains worker compensation insurance coverage or protection for its employees, if required by applicable law, and withholds applicable Federal, State, and local income and payroll taxes from the wages, salaries and any benefits of such employees; and
 - (C) the term ‘affiliate’ means a company that, by reason of ownership or control of 25 percent or more of the outstanding shares of any class of voting securities of one or more companies, directly or indirectly, controls, is controlled by, or is under common control with, another company.”

- 2. **Health Benefits Coverage for Contraceptives.** Federal funds may not be used to enter into or renew a contract which includes a provision for prescription drug coverage unless the contract also includes a provision for contraceptive coverage. This requirement

does not apply to contracts with 1) the religious plans of Personal Care's HMO and OSF HealthPlans, Inc.; and 2) any existing or future plan if the carrier for the plan objects to such coverage on the basis of religious beliefs. In implementing this section, any plan that enters into or renews a contract may not subject any individual to discrimination on the basis that the individual refuses to prescribe or otherwise provide for contraceptives because such activities would be contrary to the individuals' religious beliefs or moral convictions. Nothing in this term shall be construed to require coverage of abortion or abortion related services.

3. **Privacy Act.** No funds can be used in contravention of 5 U.S.C. § 552a (Privacy Act) or regulations implementing the Privacy Act.
4. **Prohibition on Contracting with Corporations with Felony Criminal Convictions.** Subrecipients may not knowingly enter into a contract, memorandum of understanding, or cooperative agreement with, make a subgrant to, or provide a loan or loan guarantee to, any corporation that was convicted of a felony criminal violation under any Federal law within the preceding 24 months.
5. **Prohibition on Contracting with Corporations with Unpaid Tax Liabilities.** Subrecipients may not knowingly enter into a contract, memorandum of understanding, or cooperative agreement with, make a subgrant to, or provide a loan or loan guarantee to, any corporation that has any unpaid Federal tax liability that has been assessed, for which all judicial and administrative remedies have been exhausted or have lapsed, and that is not being paid in a timely manner pursuant to an

agreement with the authority responsible for collecting the tax liability.

6. **Procuring Goods Obtained Through Child Labor.** As provided in Pub. L. 119-4, the requirements of Pub. L. 118-47, Division D, Title I, Section 103 apply. No funds may be obligated or expended for the procurement of goods mined, produced, manufactured, or harvested or services rendered, in whole or in part, by forced or indentured child labor in industries and host countries identified by the DOL prior to December 29, 2022. DOL has identified these goods and services at [List of Products Produced by Forced or Indentured Child Labor | U.S. Department of Labor \(dol.gov\)](#).
7. **Reporting of Waste, Fraud and Abuse.** No entity receiving federal funds may require employees or contractors of such entity seeking to report fraud, waste, or abuse to sign internal confidentiality agreements or statements prohibiting or otherwise restricting such employees or contractors from lawfully reporting such waste, fraud, or abuse to designated investigative or law enforcement representative of a Federal department or agency authorized to receive such information.
8. **Requirement for Blocking Pornography.** As provided in Pub. L. 119-4, the requirements of Pub. L. 118-47, Division D, Title V, Section 520 apply. No Federal funds may be used to maintain or establish a computer network unless such network blocks the viewing, downloading, and exchanging of pornography.
9. **Requirement to Provide Certain Information in Public Communications.** As provided in Pub. L. 119-4, the requirements of Pub. L. 118-47, Division D, Title V, Section 505

apply. When issuing statements, press releases, requests for proposals, bid solicitations and other documents describing projects or programs funded in whole or in part with Federal money, all non- Federal entities receiving Federal funds shall clearly state:

- (a) The percentage of the total costs of the program or project which will be financed with Federal money;
- (b) The dollar amount of Federal funds for the project or program; and
- (c) The percentage and dollar amount of the total costs of the project or program that will be financed by non-governmental sources.

The requirements of this part are separate from those in 2 C.F.R. Part 200 and, when applicable, both must be complied with.

10. Restriction on Health Benefits Coverage for Abortions.

As provided in Pub. L. 119-4, the requirements of Pub. L. 118-47, Division D, Title V, Section 506 and 507 apply. Federal funds may not be expended for health benefits coverage that includes coverage of abortions, except when the abortion is due to a pregnancy that is the result of rape or incest, or in the case where a woman suffers from a physical disorder, physical injury, including life- endangering physical conditions caused by or arising from the pregnancy itself that would, as certified by a physician, place the women in danger of death unless an abortion is performed. This restriction does not prohibit any non-Federal entity from providing health benefits coverage for abortions when

all funds for that specific benefit do not come from a Federal source. Additionally, no funds made available through this award may be provided to a State or local government if such government subjects any institutional or individual health care entity to discrimination on the basis that the health care entity does not provide, pay for, provide coverage of or refer for abortions.

- 11. Restrictions on Lobbying/Advocacy.** As provided in Pub. L. 119-4, the requirements of Pub. L. 118-47, Division D, Title V, Section 503 apply. No federal funds may be used to pay the salary or expenses of any grant recipient, or an agent acting for such recipient, related to any activity designed to influence the enactment of the legislation, appropriations, regulation, administrative action, or executive order proposed or pending before the Congress or any state government, state legislature or local legislature or legislative body, other than for normal and recognized executive-legislative relationships or participation by an agency or officer of a state, local or tribal government in policymaking and administrative processes within the executive branch of that government.
- 12. Publicity.** As provided in Pub. L. 119-4, the requirements of Pub. L. 118-47, Division D, Title V, Section 503 apply. The subrecipient is not authorized to use any funds provided under this grant award—other than for normal and recognized executive-legislative relationships-- for publicity or propaganda purposes, for the preparation, distribution or use of any kit, pamphlet, booklet, publication, radio, television or film presentation designed to support or defeat legislation pending before the

Congress or any state or local legislature or legislative body, except in presentation to the Congress or any state or local legislature itself, or designed to support or defeat any proposed or pending regulation, administrative action, or order issued by the executive branch of any state or local government, except in presentation to the executive branch of any state or local government itself.

13. **Restriction on the Promotion of Drug Legalization.** As provided in Pub. L. 119-4, the requirements of Pub. L. 118-47, Division D, Title V, Section 509 apply. No Federal funds shall be used for any activity that promotes the legalization of any drug or other substance included in schedule I of the Schedules of controlled substances established under Section 202 of the Controlled Substances Act except for normal recognized executive-congressional communications or where there is significant medical evidence of a therapeutic advantage to the use of such drug or other substance or that federally sponsored clinical trials are being conducted to determine therapeutic advantage.
14. **Restriction on Purchase of Sterile Needles or Syringes.** As provided in Pub. L. 119-4, the requirements of Pub. L. 118-47, Division D, Title V, Section 526 apply. No Federal funds shall be used to purchase sterile needles or syringes for the hypodermic injection of any illegal drug. This limitation does not apply to the use of funds for elements of a program other than making such purchases if the relevant State or local health department, in consultation with the Centers for Disease Control and Prevention, determines that the State or local jurisdiction, as applicable, is experiencing, or is at risk for, a significant increase in hepatitis

infections or an HIV outbreak due to injection use, and such program is operating in accordance with State and Local law.

15. Restrictions Against the Creation or Research of Embryos.

As provided in Pub. L. 119-4, the requirements of Pub. L. 118-47, Division D, Title V, Section 508 apply. No federal funds shall be used for (1) the creation of a human embryo or embryos for research purposes; or (2) research in which a human embryo or embryos are destroyed, discarded, or knowingly subjected to risk of injury or death greater than that allowed for research on fetuses in utero under 45 CFR § 46.204(b) and section 498(b) of the Public Health Service Act (42 U.S.C. § 289g(b)). For purposes of this section, the term "human embryo or embryos" includes any organism, not protected as a human subjected under 45 CFR 46 as of March 23, 2024, that is derived by fertilization, parthenogenesis, cloning, or any other means from one or more human gametes or human diploid cells.

16. Salary and Bonus Limitations. As provided in Pub. L. 119-4, the requirements of Pub. L. 118-47, Division D, Title I, Section 105 apply. Subrecipients shall not use funds to pay the salary and bonuses of an individual, either as direct costs or as indirect costs, at a rate in excess of Executive Level II. The Executive Level II salary may change yearly and is located on the U.S. Office of Personnel Management website (<https://www.opm.gov/policy-data-oversight/pay-leave/salaries-wages/>).

The salary and bonus limitation does not apply to contractors (vendors) providing goods and services as defined in 2 C.F.R. §200.331. Where States are recipients of such funds, States may

establish a lower limit for salaries and bonuses of those receiving salaries and bonuses from subrecipients of such funds, taking into account factors including the relative cost-of-living in the State, the compensation levels for comparable State or local government employees, and the size of the organizations that administer Federal programs involved including Employment and Training Administration programs. Refer to TEGl No. 10-24 for further clarification.

When preparing indirect cost proposals, recipients and subrecipients must disclose salary breakdowns to their Federal cognizant agency (FCA) or pass-through entity so that they can properly assess compliance of 10-24. An example of proposed salary breakdowns is provided in Exhibit B at (XLS), as part of A Guide for Indirect Cost Rate Determination, Section III, Examples of Exhibits to Support Indirect Cost Proposals in CPDD's website.

To determine unallowable compensation in excess of TEGl 10-24, refer to this link (<https://www.dol.gov/sites/dolgov/files/OASAM/legacy/files/ETA-JC-SalaryCAP-Calculation.xlsx>) in CPDD's website. Grant recipients may contact CPDD for any guidance or questions.

After evaluating and disallowing costs (when applicable) in excess of TEGl 10-24, the FCA or pass-through entity should issue applicable rates compliant with this requirement. Note that the same Excel file could also be used to determine unallowable direct compensation in excess of TEGl 10-24. Unallowable direct costs must remain as part of the indirect cost allocation base.

Note: For additional information about the salary and bonus limitation, refer to TWC Workforce Development Letter 28-07, Change 1, and any subsequent issuances.

R. Public Policy

1. **Architectural Barriers.** The Architectural Barriers Act of 1968, 42 U.S.C. §§ 4151 et seq., as amended, the Federal Property Management Regulations (see 41 C.F.R. Part 102-76), and the Uniform Federal Accessibility Standards issued by GSA (see 36 C.F.R. Part 1191, Appendices C and D) set forth requirements to make facilities accessible to, and usable by, the physically handicapped and include minimum design standards. All new facilities designed or constructed with grant support must comply with these requirements.
2. **Drug-Free Workplace.** The Drug-Free Workplace Act of 1988, 41 U.S.C. §§ 702 et seq., and 2 C.F.R. Part 182 require that all organizations receiving grants from any Federal agency maintain a drug-free workplace. Refer to the Drug-Free Workplace Certification applicable to this grant award for notification and other requirements. Failure to comply with these requirements may be cause for suspension or debarment.
3. **Executive Orders.**
 - A. **Subcontracting/Subgranting Opportunities to certain Entities and Individuals (EO 12928).** Pursuant to EO 12928, subrecipients are strongly encouraged to provide subcontracting/subgranting opportunities to Historically Black Colleges and Universities and other Minority

Institutions such as Hispanic-Serving Institutions and Tribal Colleges and Universities; and to Small Businesses Owned and Controlled by Socially and Economically Disadvantaged Individuals.

- B. Seat Belt Use (EO 13043).** Pursuant to EO 13043, Increasing Seat Belt Use in the United States, dated April 16, 1997, subrecipients are encouraged to adopt and enforce on-the-job seat belt policies and programs for their employees when operating company-owned, rented, or personally owned vehicles.
- C. Civil Rights Act of 1964 - Title VI, Prohibition Against National Origin Discrimination Affecting Limited English Proficient Persons.** Pursuant to Title VI of the Civil Rights Act of 1964 and resulting agency guidance, national origin discrimination includes discrimination on the basis of limited English proficiency (LEP). To ensure compliance with Title VI, award recipients must take reasonable steps to ensure that LEP persons have meaningful access to programs in accordance with DOL's Policy Guidance on the Prohibition of National Origin Discrimination as it Affects Persons with Limited English Proficiency, 68 FR 32290 (May 29, 2003); see also Appendix to 29 CFR 38.9 - Guidance to Recipients. Meaningful access may entail providing language assistance services, including oral and written translation, where necessary. Award recipients are encouraged to consider the need for language services for LEP persons served or encountered both in developing budgets and in conducting

programs and activities. For assistance and information regarding your LEP obligations, go to LEP.gov.

- D. Text Messaging While Driving (EO 13513).** Pursuant to EO 13513, Federal Leadership on Reducing Text Messaging While Driving, dated October 1, 2009, subrecipients are encouraged to adopt and enforce policies that ban text messaging while driving company-owned or -rented vehicles, or government-owned vehicles, or while driving personally-owned vehicles when on official Government business or when performing any work for or on behalf of the Government. Subrecipients are also encouraged to conduct initiatives of the type described in section 3(a) of EO 13513.

4. Domestic Preferences for Procurements and the Build America, Buy America Act.

The subrecipient should, to the greatest extent practicable and consistent with law, provide a preference for the purchase, acquisition, or use of goods, products, or materials produced in the United States (including but not limited to iron, aluminum, steel, cement, and other manufactured products). The requirements of 2 CFR 200.322 must be included in all subawards, contracts, and purchase orders under this award.

For purposes of the paragraph above:

- (a)** "Produced in the United States" means, for iron and steel products, that all manufacturing processes, from the initial melting stage through the application of coatings, occurred

in the United States.

- (b)** "Manufactured products" means items and construction materials composed in whole or in part of non-ferrous metals such as aluminum; plastics and polymer-based products such as polyvinyl chloride pipe; aggregates such as concrete; glass, including optical fiber; and lumber.

These funds must be expended consistent with the requirements of 41 U.S.C. 8301- 8303, commonly referred to as the Buy American Act (BAA). See WIOA section 502(a), 29 U.S.C. 3342(a). In the case of any equipment or product that may be authorized to be purchased with financial assistance provided using funds made available under WIOA title I or the Wagner-Peyser Act (29 U.S.C. 49 et seq.), it is the sense of Congress that entities receiving the assistance should, in expending the assistance, purchase only American-made equipment and products.

- 5. Flood Insurance.** The Flood Disaster Protection Act of 1973, as amended, 42 U.S.C. §§ 4001 et seq., provides that no Federal financial assistance to acquire, modernize, or construct property may be provided in communities in the United States identified as flood-prone, unless the community participates in the National Flood Insurance Program and flood insurance is purchased within one year of the identification. The flood insurance purchase requirement applies to both public and private applicants for the DOL support. Lists of flood-prone areas that are eligible for flood insurance are published in the Federal Register by the Federal Emergency Management Agency (FEMA).

6. **Hotel-Motel Fire Safety.** Pursuant to 15 U.S.C. § 2225a, subrecipients must ensure that all space for conferences and conventions or training seminars funded in whole or in part with federal funds complies with the protection and control guidelines of the Hotel and Motel Fire Safety Act (Pub. L. 101-391, as amended). Subrecipients may search the Hotel Motel National Master List at <https://apps.usfa.fema.gov/hotel/> to see if a property is in compliance, or to find other information about the Act.

7. **Pay-for-Performance Contract Strategies.** If Grantee is a Local Workforce Development Board (LWDB) and elects to set aside funds for pay-for-performance (PFP) contract strategies under 20 C.F.R. § 683.520, a separate grant agreement must be created to administer those funds. In such event, the LWDB Grantee must notify TWC to enable TWC to provide sufficient notice to the Grant Officer, through its Federal Project Officer (FPO), of any LWDB's decision to reserve up to 10% of its total local Adult/Dislocated Worker or Youth allotment for PFP contract strategies so that a new grant agreement can be issued to cover those funds.

8. **Prohibition on Trafficking in Persons.** Grant award funds shall be used in compliance with the federal requirements against Prohibition on Trafficking persons found in the Trafficking Victims Protection Act of 2000 (TVPA), as amended (22 U.S.C. 7104b) and the award term established by 2 C.F.R. § 175.200, which includes compliance with the following terms:
 - a) Provisions applicable to a recipient that is a private entity:

1. Under this award, Grantee, subrecipients and their respective employees are prohibited from engaging in:
 - i. Severe forms of trafficking in persons;
 - ii. The procurement of a commercial sex act during the period of time that this award or any subaward is in effect;
 - iii. The use of forced labor in the performance of this award or any subaward; or
 - iv. Acts that directly support or advance trafficking in persons, including the following acts:
 - (A) Destroying, concealing, removing, confiscating, or otherwise denying an employee access to that employee's identity or immigration documents;
 - (B) Failing to provide return transportation or pay for return transportation costs to an employee from a country outside the United States to the country from which the employee was recruited upon the end of employment if requested by the employee, unless:
 - (1) Exempted from the requirement to provide or pay for such return transportation by DOL; or
 - (2) The employee is a victim of human trafficking seeking victim services or legal redress in the country of employment or a witness in a human trafficking enforcement action;

(C) Soliciting a person for the purpose of employment, or offering employment, by means of materially false or fraudulent pretenses, representations, or promises regarding that employment;

(D) Charging recruited employees a placement or recruitment fee; or

(E) Providing or arranging housing that fails to meet the host country's housing and safety standards.

2. DOL as the awarding agency may unilaterally terminate this award or take any remedial actions authorized by 22 U.S.C. § 7104b(c), without penalty, if any private entity—

i. Is determined to have violated a prohibition in paragraph a)1. of this award term; or

ii. Has an employee who is determined to have violated a prohibition in paragraph a)1. of this award term through conduct that is either—

(A) Associated with performance under this award; or

(B) Imputed to Grantee or the subrecipient using the standards and due process for imputing the conduct of an individual to an organization that are provided in 2 C.F.R. Part 180, "OMB Guidelines to

Agencies on Governmentwide Debarment and Suspension (Nonprocurement)," as implemented by DOL at 2 C.F.R. Part 2998.

b) Provision applicable to a recipient other than a private entity:

1. Grantee must inform TWC immediately of any information Grantee receives from any source alleging a violation of a prohibition in paragraph a) of this award term.

i. Is determined to have violated a prohibition in paragraph a)1. of this award term; or

ii. Has an employee who is determined to have violated a prohibition in paragraph a)1. of this award term through conduct that is either-

(A) Associated with performance under this award; or

(B) Imputed to the subrecipient using the standards and due process for imputing the conduct of an individual to an organization that are provided in 29 CFR part 180, "OMB Guidelines to Agencies on Governmentwide Debarment and Suspension (Nonprocurement)," as implemented by our agency at 29 CFR Part 98.

c) Provisions applicable to any recipient:

1. The recipient must inform DOL and the DOL Office of the Inspector General immediately of any information you (the recipient) receive from any source alleging a violation

of a prohibition in paragraph a)1. of this award term.

2. DOL's right to unilaterally terminate this award as described in paragraph a.2 or b.1 of this award term:

i.Implements the requirements of 22 U.S.C. 78, and

ii.Is in addition to all other remedies for noncompliance that are available to DOL under this award.

3. The award recipient must include the requirements of paragraph a)1. of this award term in any subaward the award recipient makes to a private entity.

d) *Definitions*. For purposes of this award term:

1. "Employee" means either:

(a) An individual employed by Grantee or a subrecipient who is engaged in the performance of the project or program under this award; or

(b) Another person engaged in the performance of the project or program under this award and not compensated by Grantee or a subrecipient including, but not limited to, a volunteer or individual whose services are contributed by a third party as an in-kind contribution toward cost-sharing requirements.

2. "Private entity" means any entity, including for-profit organizations, nonprofit organizations, institutions of higher education, and hospitals. The term does not include foreign public entities, Indian Tribes, local

governments, or states as defined in 2 C.F.R. § 200.1.

3. "Severe forms of trafficking in persons," "commercial sex act," "sex trafficking," "Abuse or threatened abuse of law or legal process," "coercion" "debt bondage," and "involuntary servitude" have the meanings given at section 103 of the TVPA, as amended (22 U.S.C. 7102).

9. Veterans' Priority Provisions. The Jobs for Veterans Act (38 U.S.C. § 4215) requires subrecipients to provide priority service to veterans and spouses of certain veterans for the receipt of employment, training, and placement services in any job training program directly funded, in whole or in part, by the DOL. The regulations implementing this priority of service can be found at 20 C.F.R. Part 1010. In circumstances where a grant recipient must choose between two qualified candidates for a service, one of whom is a veteran or eligible spouse, the veterans' priority of service provisions require that the grant recipient give the veteran or eligible spouse priority of service by first providing him or her that service. To obtain priority of service, a veteran or spouse must meet the program's eligibility requirements. Subrecipients must comply with the DOL guidance on veterans' priority. ETA's TEGL No. 10-09 provides guidance on implementing priority of service for veterans and eligible spouses in all qualified job training programs funded in whole or in part by DOL.

10. Harassment Prohibited. Grantee and any subrecipients are prohibited from engaging in harassment of an individual based on race, color, religion, sex, national origin, age, disability, or political affiliation or belief, or, for beneficiaries, applicants, and

participants only, based on citizenship status or participation in any WIOA Title I-financially assisted program or activity.

Harassing conduct of this type is a violation of the nondiscrimination provisions of WIOA and of 29 CFR Part 38.

11. Equal Participation of Faith-Based Organizations and Written Notice of Beneficiary Protections. Pursuant to 29 C.F.R. §§ 2.30-2.41:

- (a) A faith-based organization that participates in this award program retains its independence from Federal, State, and local Governments and may continue to carry out its mission consistent with religious freedom and conscience protections in Federal law.
- (b) A faith-based organization may not use direct Federal financial assistance, whether received through an award or subaward, to support or engage in any explicitly religious activities. An organization receiving Federal financial assistance also must not, in providing services funded by DOL, or in conducting outreach activities related to such services, discriminate against a program beneficiary or prospective program beneficiary on the basis of religion, a religious belief, a refusal to hold a religious belief, or a refusal to attend or participate in a religious practice.
- (c) *Notice to beneficiaries of programs supported by direct Federal financial assistance.* Any faith-based organization providing services to beneficiaries under programs supported by direct Federal financial assistance from DOL, and any entity responsible for disbursing Federal funds as

part of a program of indirect Federal financial assistance administered by DOL, must give the written notice shown below to beneficiaries and prospective beneficiaries:

Name of Organization:

Name of Program:

Type of Federal Financial Assistance: **DIRECT**

Contact Information for Program Staff: (provide name, phone number, and email address, if appropriate)

Because this program is supported in whole or in part by financial assistance from the Federal Government, we are required to let you know that:

1. We may not discriminate against you on the basis of religion, a religious belief, a refusal to hold a religious belief, or a refusal to attend or participate in a religious practice;
2. We may not require you to attend or participate in any explicitly religious activities (including activities that involve overt religious content such as worship, religious instruction, or proselytization) that are offered by our organization, and any participation by you in such activities must be purely voluntary;
3. We must separate in time or location any privately funded explicitly religious activities (including activities that involve overt religious content such as

worship, religious instruction, or proselytization) from activities supported with direct Federal financial assistance;

4. You may report violations of these protections, including any denials of services or benefits by an organization, by contacting or filing a written complaint with the U.S. Department of Labor's Civil Rights Center, 200 Constitution Avenue NW, Room N-4123, Washington, DC 20210, or by email to CRCEXternalComplaints@dol.gov; and
5. If you would like to seek information about whether there are any other federally funded organizations that provide these kinds of services in your area, please call toll-free 1-877-US2-JOBS (1-877-872-5627) or TTY 1-877-889-5627.

This written notice must be given to you before you enroll in the program or receive services from the program, unless the nature of the service provided or exigent circumstances make it impracticable to provide such notice before we provide the actual service. In such an instance, this notice must be given to you at the earliest available opportunity.